implications, potentially shifting power dynamics and organizational priorities over time (Blyth 2002; Mahoney and Thelen 2010; Campbell 2021).

Understanding these processes offers critical insights into the inner workings of IOs. By examining how populists shape institutional behavior, we reveal the extent to which IOs are willing to adapt to maintain their membership and relevance. These adjustments, while often pragmatic, highlight the delicate balancing act IOs must perform to navigate political resistance without compromising their foundational principles.

5.2 IOs, Loans, and Conditionality: Appeasing Populist Leaders in International Finance

IFIs play a pivotal role in global governance by providing financial assistance to member states through grants, loans, and technical expertise. This assistance often comes with strings attached—mandatory policy reforms known as conditionality. While conditions aim to foster macroeconomic stability and ensure the responsible use of funds, they also ignite controversy. Populist leaders, in particular, often push back against these requirements, creating a complex dynamic between IOs and their members (Clark 2024).

Conditionality is a cornerstone of lending for institutions like the IMF and, to a lesser extent, the World Bank. IMF loans frequently mandate sweeping reforms, including trade liberalization, privatization of state-owned enterprises, fiscal austerity, anti-corruption measures, and tax increases (Li, Sy, and McMurray 2015; Kentikelenis, Stubbs, and King 2016; Clark and Meyerrose 2025). These conditions are controversial, often sparking domestic unrest and political resistance, especially from organized labor and other affected groups (Caraway, Rickard, and Anner 2012). The World Bank, while less stringent, imposes conditions related to governance, environmental policies, and long-term economic restructuring that can also prove contentious (Clark, Dolan, and Zeitz 2025).

IFIs justify conditionality as a safeguard against moral hazard and recidivism, ensuring that loans are used effectively and that borrowing countries adopt reforms to address the root causes of their financial distress (Reinsberg, Stubbs, and Kentikelenis 2022). Conditions are often linked to